

the lowest of all the groups. On average, they spent only 7.6 percent of their income on their most recent acquisition, and only 9.9 percent for their most expensive purchase. As a percentage of their net worth, these purchases represent only 0.68 and 0.89 percent of their net worth respectively.

How do the members of this group make purchase and dealer patronage decisions? First, most determine the dealer cost on a new model of their preferred vehicle. Then they determine the vehicle's projected depreciation. This information is used to bolster their decision to purchase a used version of their chosen model. Information about the current retail and wholesale value of used vehicles is available at many libraries and book stores. Often, enlightened CPAs provide this information to their clients.

Used vehicle-prone dealer loyalists then examine the offerings of several dealers. This is done to judge the willingness of local area dealers to "earn the business" of the members of this group. Some check the prices of vehicles offered by individuals as listed in the classifieds. Often, they telephone those listing their vehicles and ask private-party sellers if they would be willing to lower their asking price. In most cases, the callers are just conducting price-sensitivity research. The used vehicle-prone dealer loyalist uses the information he gathered as a bargaining chip in negotiating with his chosen dealer(s). In most cases, the chosen dealer will meet or beat the prices offered by the so-called competition.

Millionaires in this buyer group patronize the same dealer(s) repeatedly. Buyers feel that repeat patronage can earn them price and even service concessions, but this is not the only reason for their loyalty. Like many new vehicle-prone dealer loyalists, 36 percent of used vehicle-prone dealer loyalists told us that they buy used cars from dealers who do business with them. Many also patronize dealers who go out of their way to refer customers to them. Remember that this group contains a high concentration of entrepreneurs, self-employed professionals, and very successful sales and marketing types. Obviously, they believe in reciprocity. About one in four acquires his vehicle from relatives or close friends who are in the automotive industry. One in three used vehicle-prone dealer loyalists makes his purchase by negotiating exclusively with the owner of the dealership. One in five deals exclusively with the top sales professional at a chosen dealership. Such buyers feel that top sales professionals have great leverage in persuading sales managers to agree to sell at low prices.